Mortgage insurance providers may have additional restrictions not listed within this document. Please refer to each mortgage insurance company's website for complete eligibility details.

HOME POSSIBLE

PRIMARY RESIDENCE – PURCHASE AND RATE/TERM REFINANCE				
Property Type	**Maximum LTV**	**Maximum TLTV/HTLTV [1]**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	97%	97%	NA	LPA - *Accept*
Manufactured Home (double-wide) [2]	95%	95%		
2 to 4-Unit	95%	95%		

FIXED SUPER CONFORMING

PRIMARY RESIDENCE – PURCHASE AND RATE/TERM REFINANCE				
Property Type	**Maximum LTV**	**Maximum TLTV/HTLTV**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	95%	95% [1]	NA	LPA - *Accept*
2 Unit	85%	85%		
3 to 4 Unit	80%	80%		

ARM

PRIMARY RESIDENCE - PURCHASE & RATE/TERM REFINANCE				
Property Type	**Maximum LTV**	**Maximum TLTV/HTLTV [1]**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	95%	95%	NA	LPA - *Accept*
2-Unit	95%	95%		
3 to 4-Unit	75%	75%		

ARM SUPER CONFORMING

PRIMARY RESIDENCE - PURCHASE & RATE/TERM REFINANCE				
Property Type	**Maximum LTV**	**Maximum TLTV/HTLTV**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	95%	95%	NA	LPA - *Accept*
2-Unit	85%	85%		
3 to 4-Unit	75%	75%		

1. A TLTV ratio up to 105% is permitted when secondary financing is an Affordable Second.
2. Manufactured homes are not eligible on ARM or Super Conforming products and are subject to the maximum LTV/TLTV/HTLTV in the grid above.

PROGRAM SUMMARY

Home Possible is Freddie Mac's community lending program offering additional flexibility and options to meet a variety of borrowers' home financing needs.

PRODUCTS OFFERED

Product Name	Term	Arm Disclosure
Home Possible 30-Year Fixed	30 years	NA
Home Possible 25-Year Fixed	25 years	
Home Possible 20-Year Fixed	20 years	
Home Possible 15-Year Fixed	15 years	
Home Possible 5/6 SOFR ARM	30 years	Doc. #3383 or Equivalent
Home Possible 7/6 SOFR ARM	30 years	Doc. #3384 or Equivalent
Home Possible 10/6 SOFR ARM	30 years	
Home Possible Super Conforming 30-Year Fixed	30 years	NA
Home Possible Super Conforming 25-Year Fixed	25 years	
Home Possible Super Conforming 20-Year Fixed	20 years	
Home Possible Super Conforming 15-Year Fixed	15 years	
Home Possible Super Conforming 5/6 SOFR ARM	30 years	Doc. #3383 or Equivalent
Home Possible Super Conforming 7/6 SOFR ARM	30 years	Doc. #3384 or Equivalent
Home Possible Super Conforming 10/6 SOFR ARM	30 years	

LOAN REGISTRATION

When registering Home Possible loans in the system, select Home Possible for the product question: Is an affordable housing loan requested? See *Income Limitations* section below for additional registration instructions.

LOAN AMOUNTS

MAXIMUM

Maximum standard conforming loan limits for 1 to 4-unit properties, including super conforming loan limits. Refer to *Freddie Mac Super Conforming,* Doc. #5347 for a complete list of eligible high-cost areas

ELIGIBLE BORROWERS

- All income-eligible occupant borrowers
- Non-occupant co-borrower, see Underwriting-Occupancy below
- May not have an ownership interest in more than two (2) financed residential properties, including the subject property as of the Note Date.

ELIGIBLE PROPERTY TYPES

- 1 to 4-unit properties

- Freddie Mac-warrantable condominium
- Planned Unit Development (PUD)
- Modular home
- Manufactured homes:
  - Multiple-width homes only
  - No new construction: only homes already on a permanent foundation and property converted to and taxed as real property
  - Refer to the *Conventional Underwriting Guidelines* for additional manufactured home requirements.

INELIGIBLE PROPERTY TYPES

- Manufactured homes:
  - Single-wide
  - New construction manufactured homes
  - Freddie Mac CHOICEHome
- Cooperative property

MINIMUM CREDIT SCORES

All scores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*.

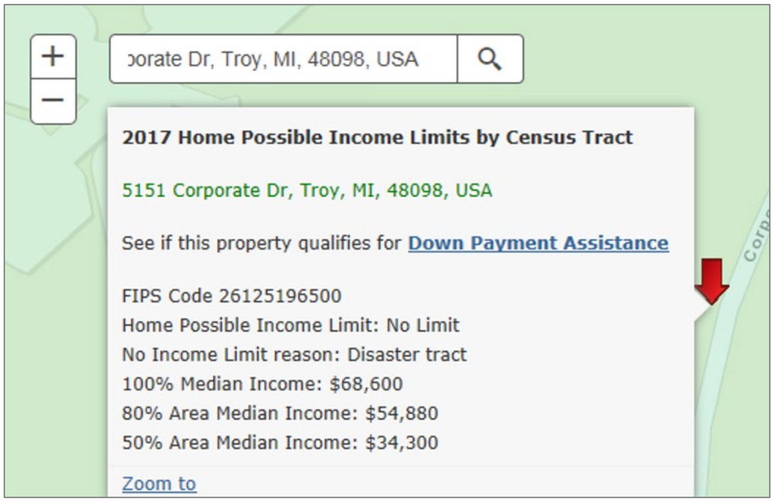
QUALIFYING RATE

- Fixed Rate – Note rate
- 5/6 ARM – Greater of fully-indexed or note rate plus 2%
- 7/6 and 10/6 ARM – Greater of fully-indexed or note rate

INCOME LIMITATIONS

In determining whether a mortgage is eligible under the borrower income limits

- 80% of AMI as confirmed by LPA.
- To see income limits prior to loan registration
  - https://sf.freddiemac.com/working-with-us/affordable-lending/home-possible-eligibility-map
  - Enter property address
  - See example below:



QUALIFYING RATIOS

Determined by Loan Product Advisor (LPA)

UNDERWRITING

All loans must meet the parameters as set out in Flagstar Bank's *Conventional Underwriting Guidelines*.

- All loans must submitted to LPA and receive an Accept response.
- At least one borrower must complete a homeownership education course if all borrowers are first time homebuyers. See *Homeownership Education* below.
- All scores must meet the credit score validation requirements outlined in the *Conventional Underwriting Guidelines*. Manual underwriting, thin file or non-traditional credit profiles are not eligible.
- Occupancy
  - At least one borrower must occupy the property secured by the mortgage as their primary residence
  - Non-occupying borrowers are permitted provided that:
    - The mortgage is secured by a 1-unit property
    - The LTV, TLTV and HTLTV ratios must not exceed 95% for LPA mortgages, except that for a fixed rate mortgage with affordable seconds, the TLTV ratio must not exceed 105%
- Income
  - Total borrower income limited as indicated above under Income Limitations
  - Income other than listed below to be documented per standard Freddie Mac guidelines and/or LPA.
  - Rental income:
    - Rental income from a 1-unit primary residence
    - Rental income from a 1-unit primary residence may be considered as stable monthly income provided it meets the stable monthly income guidelines of Freddie Mac including the following:
- Connection with the borrower. The person providing the rental income and the Borrower:
  - Have resided together for at least one year
  - Will continue residing together in the new residence, and

- The person providing the rental income provides appropriate documentation to evidence residency with the Borrower (i.e., copy of a driver's license, bill, bank statement, etc., that shows the address of that person to be the same as the Borrower's address)
    - Rental payment. Rental income from the person residing in the mortgaged premises:
- Has been paid to the borrower for the past 12 months on a regular basis
- Can be verified by the borrower with evidence showing receipt of regular payments of rental income to the borrower for at least 9 of the past 12 months (i.e., copies of cancelled checks)
- Income must be averaged over 12 months when fewer than 12 months of payments are documented.
- Does not exceed 30% of the total income used to qualify for the mortgage
    - The mortgage file must contain a written statement from the borrower affirming:
- The source of the rental income
- The fact that the person providing the rental income has resided with the borrower for the past year and intends to continue residing with the borrower in the new residence for the foreseeable future
- Rental income from 2 to 4-unit primary residences
    - Rental income from a 2 to 4-unit primary residence must meet the requirements per the Flagstar *Conventional Underwriting Guidelines.*

- Assets
    - Reserves determined by LPA

Minimum Contribution from Borrower Personal Funds			
Property Type	**Home Possible LTV/TLTV/HTLTV ratios <=80%**	**Home Possible LTV/TLTV/HTLTV ratios >80% <=95%**	**Home Possible LTV/TLTV/HTLTV ratios >95%**
1-Unit	None	None	None
2 to 4 Unit	None	3%	3%

Permitted Sources of Funds	
Use	**Permitted Sources of Funds**
Minimum borrower contribution	Borrower personal funds
Down payment for purchase transaction (difference between the purchase price and the first lien amount)	Borrower personal funds
	Other borrower funds
Additional equity if needed for a no-cash-out refinance transaction	Borrower personal funds
	Other borrower funds
Closing costs, financing costs, prepaids/escrows	Borrower personal funds
	Other borrower funds
	Flexible sources of funds
Reserves	Borrower personal funds
	Other borrower funds
	Eligible assets

- Borrower personal funds include
    - Borrower personal funds per Freddie Mac guidelines

- Cash on hand, if the following requirements are met:
  - The lender reasonably concludes, and can support, that the borrower is a cash-basis individual and that the cash on hand is not borrowed and could be saved by the borrower.
  - The mortgage file contains all of the following documents supporting the conclusion:
    - Completed *Monthly Budget and Residual Analysis Form*, or another document containing the same information, confirming that the total monthly residual income available for savings is a positive number
    - Copies of six months' cash receipts (e.g. rent or utility receipts) or other alternative documentation (e.g., direct verifications or wire transfers) to verify that recurring obligations, including the payment of revolving and installment debt, are customarily paid in cash
    - A credit report obtained at the time of loan application. The credit report must not show more than three trade lines.
    - Copies of three months' statements for any open revolving account that reveal cash advances are not the source of borrower funds. Any cash advances must be explained and documented (i.e., a cash advance used in an emergency situation).
    - An updated credit report obtained approximately one week before closing that does not show any new accounts or a substantial increase to an existing account that approximates, or exceeds, the amount of cash on hand provided by the borrower.
  - The mortgage file must have no indication that the borrower typically uses checking, savings or similar accounts
  - Evidence that funds for the down payment, closing costs, financing costs, prepaids/escrows and reserves are deposited in a financial institution or are held in an institutional escrow account prior to closing.
- Other borrower funds per Freddie guidelines plus:
  - For purchase transactions, proceeds from an unsecured loan meeting the Freddie Mac requirements for an Individual Development Account from one of the following:
    - An agency
    - A related person or
    - A Community Savings System (CSS) (funds in excess of the borrower contribution to the CSS)
- Flexible Sources of Funds:
  - Financing concessions/interested party contributions per limits below
  - Premium financing

- Affordable Seconds
  - Only approved Affordable Second programs are eligible, see *Community Seconds Programs*, Doc. #5932.
  - When the TLTV ratio exceeds 97%, the secondary financing subordinated must be an Affordable Second

- An affordable second that does not require a payment before the due date of the 61st payment under the Home Possible mortgage may be entered in LPA in the *Total Gift Fund* field. In all other respects the affordable second must be considered as secondary financing.

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller (directly or indirectly), builder, real estate agent/broker, or any other party with an interest in the real estate transaction. The mortgage lender may also be considered an interested party if it has an ownership relationship with the property seller or one of the other interested parties such as the builder or real estate broker/agent. After the borrower's minimum contributions have been met, such contributions may be used to:

- Reduce permanently the interest rate of the mortgage
- Towards mortgage financing costs, closing costs, or prepaids/escrows, including up to 12 months of homeowner's association dues.

INTERESTED PARTY CONTRIBUTION LIMITS			
CLTV	**Up to 75%**	**75.01-90%**	**90.01% & Greater**
Primary Residence	Maximum 9%	Maximum 6%	Maximum 3%

HOMEOWNERSHIP EDUCATION

Refer to *Conventional Underwriting Guidelines* for requirements.

2 TO 4-UNIT PROPERTIES

- Purchase transactions – At least one qualifying borrower must participate in a landlord education program prior to the note date. A copy of the certificate of completion must be retained in the mortgage loan file.
- Refinance transactions – Landlord education is not required but is recommended for borrowers who have not previously attended a program.

SUBORDINATE FINANCING

Refer to the *Subordinate Financing* section of the *Conventional Underwriting Guidelines* for details. The use of financing obtained from the property seller is not allowed.

Eligible Community Seconds subsidized subordinate financing. Community seconds may be eligible from a state, local or municipal authority or agency, a 501(c)(3) nonprofit corporation, a tax-exempt religious organization or the borrower's employer. Flagstar Bank must review all community second programs for eligibility. An official written description of the program (from the agency providing the funds), the loan documents used in connection with the financing (i.e., the note, mortgage/deed of trust, etc.), and any other written descriptive material must be submitted with the loan file. Subordinate financing program review generally requires three to five business days for approval.

TEMPORARY BUYDOWNS

Not eligible

TEXAS REFINANCE LOANS

All refinance loans in Texas will be evaluated against the criteria outlined in our *Conventional Underwriting Guidelines*, *Texas Refinances* section to determine if the loan must be originated under the requirements of

Section 50(a)(6) of the Texas Constitution. Refer to *Texas Homestead 50(a)(6) Refinance,* Doc. #5907, for eligibility, documentation/disclosure, and title/closing requirements.

INVESTOR FEATURE IDENTIFIERS

This loan program requires that certain special feature codes be attached to each loan file by the underwriter.

- IFI 140 For mortgages when the borrower qualifying income converted to an annual basis does not exceed 80% of the applicable area median income or the mortgaged premises is located in an underserved area)
- IFI 532 If mortgage satisfies the minimum number of payment reference requirement using noncredit payment references
- IFI 583 Home Possible mortgage with an affordable second
- IFI G18 Home Possible mortgage with affordable second entered into Loan Product Advisor in *Total Gift Fund* field

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details.

Reduced MI coverage is not eligible.

All loans above 80% LTV require mortgage insurance coverage according to the following guidelines:

MORTGAGE INSURANCE GUIDELINES

<table>
<tr><th colspan="4">Primary Residence – Purchase & Rate/Term Refinance</th></tr>
<tr><th>LTV</th><th>25 & 30-Year</th><th>10, 15 & 20-Year</th><th>Manufactured Home
All Loan Terms</th></tr>
<tr><td>95.01-97%</td><td rowspan="3">25%</td><td rowspan="2">25%</td><td>N/A</td></tr>
<tr><td>90.01-95%</td><td rowspan="2">25%</td></tr>
<tr><td>85.01-90%</td><td>12%</td></tr>
<tr><td>80.01-85%</td><td>12%</td><td>6%</td><td>12%</td></tr>
</table>

NEW YORK PROPERTIES

See *Conventional Underwriting Guidelines*.

STATE ELIGIBILITY

These products are available in the following states/territories with restrictions. The states/territories not listed are available without restrictions.

State/Territory	Restriction
New York	Refer to *Mortgage Insurance* section above for mortgage insurance coverage calculation requirements.
Puerto Rico	Ineligible
Texas	Refer to *Texas Refinances* section above.

PREPAYMENT PENALTY

None

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	**5/6:** Initial – 2% up/down; subsequent – 1% up/down; lifetime – 5% up. **7/6 and 10/6:** Initial – 5% up/down; subsequent – 1% up/down; lifetime – 5% up.
Margin	See *Price Indication Sheet*
Index	30 Day SOFR (Secured Overnight Financing Rate)
Interest Rate Floor	The interest rate floor is equal to the margin. There is a new change date every 6 months thereafter.
Change Dates	• **5/6:** The first change date is the 60th payment due date. There is a new Change Date every 6 months thereafter. • **7/6:** The first change date is the 84th payment due date. There is a new Change Date every 6 months thereafter. • **10/6:** The first change date in the 120th payment due date. There is a new Change Date every 6 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available in the system

ALL LOANS

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series
- Standard title commitment with all applicable endorsements

5/6, 7/6, & 10/6 SOFR ARMS

- Fannie/Freddie multi-state Adjustable Rate Note, Form# 3442
- Fannie/Freddie multi-state Adjustable Rate Rider, Form# 3142

IF APPLICABLE

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form# 3140
- Fannie Mae/Freddie Mac multi-state PUD Rider, Form# 3150
- Fannie Mae/Freddie Mac multi-state 1-4 Family Rider, Form# 3170 (for 2 to 4-unit primary residences and all investment property mortgages)
- Manufactured Home Rider to Mortgage, Deed of Trust or Other Security Instrument
- Loans secured by a manufactured home:
    - ALTA 7 and/or 7.1 endorsement to the lenders title policy
    - An executed Affidavit of Affixture